

EXIT POLICY UNDER BIHAR STARTUP POLICY 2022

1. Criteria for Exit under Bihar Startup Policy

Startup certified under Bihar Startup Policy may exit from the policy under following conditions:

- i. 10 years has elapsed since the incorporation of the business entity as a private limited company (as defined in the Companies Act, 2013) or registered as a partnership firm (registered under Partnership Act, 1932) or a limited liability partnership (under the Limited Liability Partnership Act, 2008).
- ii. Business entity has achieved the turnover of Rs. 100 crores in any Financial Year since its incorporation/registration.
- iii. Business entity has transferred its incorporated/registered office from the state of Bihar.
- iv. If the Business entity is found guilty on any charges of fraud or if the business entity is found to have made any false declarations to claim any benefits from or derived under this policy.
- v. If the founder members, who incorporated/registered the startup sales/transferred/windup the startup.
- vi. BSFT/SMIC found that the Startup is not performing the business or have diverted the fund to completely different business from which they were originally registered.
- vii. If the Startup Suo-moto applies for Exit from the Bihar Startup Policy.
- viii. If the Startup fails to submit a performance report at the end of every year till the loan has been fully repaid, it will be considered as violation of Bihar Startup Policy and will not be considered as startup anymore.

Once any of the above situation is triggered, Startup ceases to be recognised as startup under Bihar Startup Policy.

2. Consequences if startup ceases to be startup under the Bihar Startup Policy:

Once a Startup ceases to be recognised as Startup under the Bihar Startup policy, following action will be taken:

- i. Startup needs to repay in full/ balance amount of the loan taken as Seed Fund.

- ii. Startup needs to repay in full/ balance amount of any benefits taken under Early stage Funding i.e. Matching loan, Post Seed Fund loan or any other benefits.
- iii. BSFT will recover the interest due on the Matching Loan (if taken by startup)
- iv. From the date entity ceased to be the startup under the Bihar Startup Policy, the Startup Certificate issued by BSFT will stands revoked.
- v. From the date of ceaser, entity will not be able to avail any benefits under Bihar Startup Policy and can also cannot represent themselves as a startup recognised under Bihar Startup Policy.

3. Process if Startup wants to exit from the Policy Suo-moto:

Sl.No.	Particulars	Duration (in working days)
1.	Apply for exit from policy by Startup through Portal or e-mail id (In case portal is not working) and submit all the relevant reports instructed in the portal	T0
2.	Repay the unpaid amount of loan plus interest thereon (if any) through RTGS/NEFT in the bank account details given in the portal. (T1)	T0+7
3.	Evaluation of the application and verification of the loan repaid plus interest paid (if any) by the SSU Team/ PMU / TPA / Manpower hired by DoI and reply to startup for any further documents/ clarification (if required). (T2)	T1+7
4.	Reply from startup and submission of documents asked by Department (T3)	T2+5
5.	Final Evaluation done by the SSU Team/ PMU / TPA / Manpower hired by DoI (T4)	T3+3
6.	Approval by PSC (T5)	T4+5
7.	Approval by SMIC (T6)	Post Facto

4. Action to be taken against the startup:

If the Startup does not fulfil the Exit policy following action may be taken:

- i. Unpaid amount of loan plus interest due shall be recovered under the Public Demand Recovery Act prevalent.
- ii. BSFT/SMIC may decide a relevant action against the entity considering the prevailing situation /laws.